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What's News

Business & Finance

- ◆ **An unruly bond market** that is sending borrowing costs to their highest levels in decades is stressing sovereign debt issuers and consumers in hock to creditors. In U.S. stock trading, the S&P 500, Nasdaq and Dow fell 0.7%, 1% and 0.8%, respectively. **A1**
- ◆ **The G-20 finance ministers' gathering** came to an awkward close amid bickering over tariffs, public insults and a row over a group photo. **A1**
- ◆ **Eurozone inflation** rose for a third straight month in August, reinforcing expectations that the ECB will raise its key interest rate next week. **A9**
- ◆ **OpenAI in a legal filing** hit back at an Apple lawsuit accusing employees of the artificial-intelligence lab of stealing trade secrets. **B1**
- ◆ **Nestlé will sell its** mainstream vitamins, supplements and minerals business for \$1 billion to Boston-based private-equity firm Yellow Wood Partners. **B2**
- ◆ **Medtronic raised** its outlook for the year after posting higher fiscal first-quarter profit and sales driven in part by contributions from newer growth platforms. **B2**
- ◆ **Novartis halted** eight clinical trials of an experimental therapy targeting autoimmune and neurological disorders after three patients died. **B2**
- ◆ **Gap tapped** the designer who turned Coach into a household name to create a new line of handbags using Gap's signature fleece and denim. **B3**
- ◆ **Chobani bought out** Keurig Dr Pepper's minority stake in the yogurt maker ahead of the seller's planned spinoff of its coffee business. **B3**

Worldwide

- ◆ **The U.S. carried out** new strikes on Iranian targets and Iran responded by firing missiles and drones across the Persian Gulf. Jordan, which hosts U.S. servicemembers in bases across its territory, reported engaging 13 ballistic missiles that entered its airspace. **A7**
- ◆ **Massachusetts Sen.** Ed Markey beat back a Democratic primary challenge from Rep. Seth Moulton in a fight that focused on the 80-year-old Markey's age and the future of the party. **A4**
- ◆ **The House voted** to censure Rep. Chuck Edwards over allegations he sexually harassed two young female staffers and created a hostile work environment. **A4**
- ◆ **The House passed** a bipartisan resolution to fund the government past a Sept. 30 deadline, with representatives eager to avoid a shutdown as they focus on the midterms. **A4**
- ◆ **Germany accused Russia** of being behind a plot to send explosive drones to a German airport last month and pledged to retaliate against Moscow. **A6**
- ◆ **Trump administration** officials are escalating an immigration crackdown on commercial truck drivers. **A3**
- ◆ **The man accused** of killing conservative activist Charlie Kirk potentially faces the death penalty after a judge ruled there was enough evidence to warrant a trial for aggravated murder. **A3**
- ◆ **The woman who died** in a stabbing attack in New York City's Times Square was identified as a vice president at Bank of America. **A3**

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Bond Rout Deepens Around Globe

Yields across the world soar in a rebuke to countries' heavy borrowing

By Chelsey Dulaney, Alexander Osipovich and Caitlin McCabe

The global economy has a new challenge to surmount: an unruly bond market that is sending borrowing costs to their highest levels in decades. A rout in bond markets deepened on Tuesday when Japan's 10-year bond yield touched 3% for the first time since 1996. Markets in other heavily indebted nations had their own superlatives. The U.K.'s 30-year bond yield hit

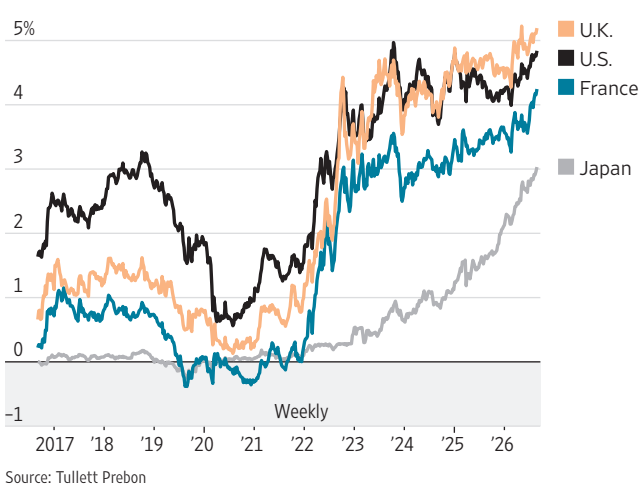
the highest level since 1998. Bond yields in Germany and France rose to their highest levels in more than a decade. The 10-year U.S. Treasury yield climbed closer to 4.8%, a level last touched in January 2025. The run-up in interest rates has profound consequences for the global economy, heaping pressure on everyone from home buyers to credit-card holders and especially governments, which have borrowed heavily in recent years.

The bond selloff has been building for weeks and reflects a number of drivers. A jump in oil prices this week after fighting resumed in the Persian Gulf was the latest catalyst. When energy prices rise and feed through to the economy, bond investors demand higher yields to compensate for higher inflation.

Heavily indebted countries—including the U.S.—have been hit hardest. This reflects

- ◆ **War complicates Fed's next move..... A2**
- ◆ **Heard on the Street: Oil prices hit bond market... B12**

10-year government bond yields



Cuba's Schools Reopen Amid Power, Water Crises



CHALLENGES: Children in Havana line up beneath portraits of revolutionary leaders Che Guevara and Fidel Castro on Tuesday. The first day of classes came as the island grapples with power, water and fuel shortages compounded by a U.S. oil embargo.

Humble Debut for Shein IPO

Shein, the Chinese fast-fashion giant, made a subdued stock-market debut on Tuesday. Shares fell as much as 10% on the Hong Kong exchange before rebounding to close at the initial public offering price. Early Wednesday, the stock was down 3.3%. The valuation at the close was about \$26 billion—a far cry from its 2022 peak, when it was valued at \$100 billion in a funding round. **B1**

Shein share price on the Hong Kong exchange



Al Qaeda-Houthi Alliance Stirs New Trouble for U.S.

The militants threaten another Middle East oil-shipping route

By MICHAEL M. PHILLIPS

On a balmy evening, Jibril “One-Armed” Yahya Ali and his new bride set out for a honeymoon drive along the beach outside al-Ghaydah, Yemen. Jibril, a Somali, and his Yemeni wife had met through a mutual acquaintance, an arms dealer who helped Jibril buy military-grade weapons from Yemen's Houthi rebels. Jibril would then smuggle the arms to al-Shabaab, an Islamist insurgent group fighting to overthrow the government in Somalia.

The budding alliance benefited both sides. Al-Shabaab, the world's richest al Qaeda wing, had cash but needed weapons and

training. The Houthis had sophisticated arms and tech know-how, but coveted money and a new perch for attacks against the West.

The exchange also made Jibril a target. On Feb. 12, four months after Jibril married Budoor Murshid, the couple took the Toyota Corolla on their sunset drive. Budoor's phone rang. They parked, and Budoor

U.S., Iran Trade Fire

Trump answers Iranian attacks on ships, mining of Strait of Hormuz with new strikes..... **A7**

Russia Skirts Sanctions Through Island Haven

By NOEMIE BISSEBEE AND THOMAS GROVE

MALÉ, Maldives—The white-sand beaches, turquoise waters and secluded luxury resorts of this South Asian archipelago attract millions of tourists each year. But a new trade has quietly emerged behind the postcard-perfect backdrop: a web of companies helping Russia evade sanctions.

Hundreds of millions of dollars in goods that are restricted or destined for companies under sanction have changed hands at the airport, according to documents reviewed by The Wall Street Journal and interviews with Western officials. Some of these goods serve both civilian and military uses. The airport's cargo holds are often filled with aircraft parts, electronic components and other restricted goods, according to the documents and officials.

The amount of goods flowing through the Maldives is rel-

atively small when compared with Russia's biggest channels for sanctions evasion, including China, Turkey and the United Arab Emirates, which together account for about \$15 billion in restricted Russian imports annually. But the flow of goods through the Maldives, which hasn't previously been reported, shows how expansive Russia's efforts to thwart Western restrictions are.

Through more than four years of war, Moscow has repeatedly shown it can find the gaps in sanctions, leaving Western officials playing a game of whack-a-mole as they try to halt the flow of goods that sustain Russia's war effort and economy.

The documents reviewed by the Journal—air waybills, a cargo manifest, and emails between logistics companies—paint a picture of how the system in the Maldives works.

A commercial flight operated

INSIDE



PERSONAL JOURNAL
Sorting out the differences among fast passes through airport security. **A10**



SPORTS
Stan Kroenke expands his sports empire with \$4 billion Angels purchase. **A16**

Londoners Are Stewing Over Illegally Parked Ferraris

Tony neighborhoods clogged with foreign supercars bearing tickets drivers won't pay

By ELIOT BROWN AND KATE LYNCH

LONDON—A midnight-black Land Rover Defender P400 recently slid up next to some trash bags in a no-parking zone outside Harrods and nestled against the curb at an angle, its rear protruding into the street.

The driver of the slick SUV bearing Qatari plates shifted into park, stepped out and headed into the tony department store. Cars honked as they snaked by.

The luxury lanes of London have a pesky problem: foreign supercars that park where they see fit, racking up tickets the drivers don't pay.

London's priciest neighbor-

hoods are showcases for ostentatious automobiles at all times of year, V12 engines roaring through streets where speed limits top out at 20 miles-per-hour. The neighborhoods become particularly clogged with Ferraris, Lamborghinis and McLarens bearing

Middle East plates in the summer, as their drivers escape the Gulf's scorching heat.

Underground parking garages are scant in London's gilded precincts. Capacious Rolls-Royces and Bentleys rub bumpers with plebeian Honda Civics and Fiats, all seeking streetside spaces.

When parking spots are scarce, supercar drivers often



Luxury carmageddon